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MEMORANDUM

TO: Supervising Attorney
FROM: Zeid Bsharah
RE: California Proposition 19: Transfers Between Parents and Children

Question: With the approval of Proposition 19 in the state of California, what is the state of the law today regarding the transfer of property from parent to child? Do there remain any exclusions for reassessment in the context of parent-child property transfers?

Short Answer: Compared to prior law in the state of California, under Propositions 13 and 58, the approval of Proposition 19 in 2020 (operative since February 2021), altered the legal landscape of property tax reassessment in the context of family inheritance. With the approval of this proposition, the state of California now sees the transfer of property from parent to child, in the context of a single-family home, to be seen as a change of ownership that no longer qualifies for the exclusion of property tax reassessment. However, those inheriting a property from their parents are still able to be excluded from property tax reassessment if certain conditions, not seen in previous legislation, are met.

Analysis: The information presented in the preceding paragraph can be found in a variety of official sources run by the state of California. In the context of the transfer of property between parent and child, under previous pieces of legislation, such as Propositions 13 and 58, the transfer of property with the exclusion of tax reassessment was less limited. As stated by Sacramento County, Proposition 13, enacted in 1978, values property at its fair market value at the time of acquisition with annual increases of 2% or, if lower, the inflation rate as determined by the California Consumer Price Index. It must also be noted that in the case of a change in ownership, the property must be appraised for tax purposes [1]. The establishment of Proposition 58 in 1986 allowed for intergenerational transfer exclusion, allowing parents to transfer property to their child without having the property subject to reassessment [2]. In the state of law today, there are more limitations set in place in the context of property being transferred from parent to child due to the implementation of Proposition 19. Parents are no longer able to transfer their property to their child without reassessment if certain conditions are not met. As per the California State Board of Equalization, in order for the exclusion of reassessment, the family home must be the primary residency for the transferor or parent, the transferee must live in the home transferred to them under primary residency within a year of the transferred date, and the transferee or child must file for the "homeowners' or disabled veterans exemption" within a year

[1] "Proposition 13 and Real Property Assessments." Sacramento County. https://assessor.saccounty.gov/TopicsAtoZ/Pages/Prop13andRealPropertyAssessment.aspx
[2] "Exclusions from Reappraisal Frequently Asked Questions." California State Board of Equalization. https://www.boe.ca.gov/proptaxes/faqs/propositions58.ht m

of the transferred date. If one fails to follow these guidelines, they will be subject to property tax reassessment as stated in California Proposition 19 [3].

State of Law Today:

- As per Proposition 13, property is valued at its fair market price on the day of acquisition, with an annual increase of either 2%. In the case where the inflation rate, as determined by the California Consumer Price Index, is lower than 2%, that is applied instead.
- As per Proposition 13, under certain conditions, such as a change in ownership, a property must be reassessed to its fair market price for tax purposes.
- As per Proposition 19, the transfer of property from parent to child is no longer excluded from property reassessment, as previously established by Proposition 58.
- As per Proposition 19, the transfer of property from parent to child can still be excluded from property reassessment only if certain conditions are met.
- As per Proposition 19, in order for the transfer of property (family home) from parent to child to be excluded from tax reassessment the property must be the primary residence of the transferor, the transferee must live in that property as a primary residence within a year of the transfer date, and the transferee must file for the "homeowners' or disabled veterans exemption" within a year of the transferred date.

[3] "Property Tax Savings: Transfers Between Parents and Children." California State Board of Equalization. https://www.boe.ca.gov/pdf/pub800-1.pdf

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TO: Supervising Attorney
FROM: Zeid Bsharah
RE: California Proposition 19: Transfers Between Parents and Children cont.

Question: It is stated in Proposition 19 that the transferee must live in the property as a primary residence within a year of the transfer date, and the transferee must file a homeowners' exemption within a year. Are there any other factors or restrictions that need to be considered?

Short Answer: As stated in the previous memo, with the implementation of Proposition 19, there have been significant changes in the state of the law today regarding the transfer of property between parents and children. It has been analyzed that in order for the transfer of a property from a parent to a child to be excluded from the tax reassessment the following conditions must be completed: "the property must be the primary residence of the transferor, the transferee must live in that property as a primary residence within a year of the transfer date, and the transferee must file for the homeowners' or disabled veterans exemption within a year of the transferred date". However, as with the law, there are specific cases that require further examination. In certain specific cases, there may be more factors or restrictions that may need to be applied.

Analysis:

Client One states that "the property is worth $1,500,000." Will they still qualify? As stated in Assembly Constitutional Amendment No.11, Chapter 31, Section 2.1, in accordance to California Proposition 19: "*(i) If the assessed value of the family home upon purchase by, or transfer to, the transferee is less than the sum of the taxable value described in subparagraph (A) plus one million dollars ($1,000,000), then zero dollars ($0). (ii) If the assessed value of the family home upon purchase by, or transfer to, the transferee is equal to or more than the sum of the taxable value described in subparagraph (A) plus one million dollars ($1,000,000), an amount equal to the assessed value of the family home upon purchase by, or transfer to, the transferee, minus the sum of the taxable value described in subparagraph (A) and one million dollars ($1,000,000)*" [1]. Thus, if a property exceeds its taxable value by $1M or less, there will be no full property tax reassessment. In the case where the market value of a property is above $1M, the amount above the $1M threshold will be added to and used to calculate the property tax bill of the child receiving the property. If a client has a property with a market value of $1.5M and they are either a parent transferring it to their child or a child receiving the property from their parent, they still qualify for exemption from being fully reassessed. However, there will still be a reassessment process as the value of the property exceeds the $1M threshold.

[1] "CA-11 The Home Protection for Seniors, Severely Disabled, Families, and Victims of Wildfire or Natural Disasters Act". California Legislative Information, 2020. https://leginfo.legislature.ca.gov/faces/billNavClient.xhtml?bill_id=201920200ACA11

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To calculate the reassessed property taxes, one must find the difference between the factored base year value and the current market value. The difference is then added to the original base year value. If the property is worth $1M or less, there would be no need for this recalculation. It is also important to note that "beginning on February 16, 2023, and every other February 16 thereafter, the State Board of Equalization shall adjust the one million dollar ($1,000,000) amount described in paragraph (1)" [2]. As of February 16, 2025, the threshold or allowance is now $1,044,586, as stated by the California State Board of Equalization [3].

Client Two states their property is an apartment building. "They live in one unit, and their daughter intends to occupy that unit after the transfer". Will they still qualify? In this scenario, the apartment building in its entirety will not qualify for tax reassessment exemption under parent-child transfers. Proposition 19 limits exemptions from reassessment in the case of parent-child transfers to "family homes" and "family farms". As defined by the legislature, "family home" has the same meaning as "principal residence". Furthermore, "replacement primary residence" has the same meaning as "replacement dwelling". Meanwhile, "family farm" refers to "any real property which is under cultivation or which is being used for pasture or grazing, or that is used to produce any agricultural commodity" [4]. As the parent in this situation has primary dwelling in only one unit in the entire multi-unit building, and the daughter plans to occupy that single unit, then ONLY that unit is excluded from tax reassessment. However, the remaining units will be fully reappraised as the change in ownership is not considered a family home or family farm per the definitions stated in the legislation.

Client Three states, "their property is a house with 10 acres of grapevines and a winemaking facility onsite, which is permitted to handle wine tastings". Will they still qualify? Under California Law, a "family farm", as defined in Section 51201 of the Government Code as that section read on January 1, 2020, is "any real property which is under cultivation or which is being used for pasture or grazing, or that is used to produce any agricultural commodity". What falls under the term "agricultural commodity" depends on how that product is produced [5]. California Food and Agricultural Code § 55407 states that "Processor" means any person who is engaged in the business of processing or manufacturing any farm product, that solicits, buys, contracts to buy, or otherwise takes title to, or possession or control of, any farm product from the producer of the farm product for the purpose of processing or manufacturing it and

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[2] California Legislative Information,"CA-11 The Home Protection for Seniors, Severely Disabled, Families, and Victims of Wildfire or Natural Disasters Act".
[3] "LTA 2025/009, Intergenerational Transfer Exclusion, Adjustment of the $1 Million Amount". California State Board of Equalization. https://www.boe.ca.gov/proptaxes/pdf/lta25009.pdf
[4] California Legislative Information,"CA-11 The Home Protection for Seniors, Severely Disabled, Families, and Victims of Wildfire or Natural Disasters Act".
[5] California Legislative Information,"CA-11 The Home Protection for Seniors, Severely Disabled, Families, and Victims of Wildfire or Natural Disasters Act,"

selling, reselling, or redelivering it in any dried, canned, extracted, FERMENTED, distilled, frozen, eviscerated, or other preserved or processed form". In addition, California Food and Agricultural Code § 55409 states that, "Juice or must used for wine which, as a condition of sale, is required to be pressed or crushed from grapes in the field or at a facility not owned by the purchasing vintner, is a farm product for purposes of this chapter" [6]. Ergo, based on these previously defined definitions of winemaking, so long as the property is currently producing wine through the fermentation and cultivation of grapes, it is considered a farm under California law, as grapes are an agricultural commodity. If the property did not ferment and cultivate these grapes and just sold wine that was cultivated elsewhere, it would not be considered a farm. As this client is permitted to have wine tastings (assuming they follow the local zoning laws for wine production), is currently producing wine through grape vines, and as long as the property is family-owned and being transferred to their child, it may qualify for tax reassessment exemption under Proposition 19.

Client four states that their "property has a one-bedroom ADU that they rent to a third party while occupying the main house". Will they still qualify? As stated by the State of California State Board of Equalization Property Tax Department, on the topic of multi-unit dwellings, "Generally, each unit of a multi-unit dwelling shall be considered a separate primary residence". However, if certain criteria are met, then ADUs and JADUs on a property may not qualify as multi-unit dwellings. The following must be met: There is a dwelling unit on the property, the only other units on the real property are ADUs or JADUs, any ADUs and JADUs are not separately alienable from the title of any other dwelling unit on the property, and the claimant occupies one of the structures as their primary residence[7]". If the client, in addition to occupying the main house as a primary residence and having a dwelling unit on the property, has no other units and the ADU is not alienated from the title of the property, it may qualify for tax reassessment expedition under Proposition 19. All of those conditions must be met, so it is best to inquire more about this client before giving a definitive answer.

Conclusion: The state of the law today on the topic of Proposition 19 is not straightforward, as any piece of law is not, and heavily depends on the client's specific situation and changes in legislation.

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[6] "CALIFORNIA FOOD AND AGRICULTURAL CODE EXCERPTS", State of California Department of Food and Agriculture Market Enforcement Branch. Chapter 6, Article 1. https://www.cdfa.ca.gov/mkt/meb/Forms/Chapter_6.pdf

[7] "PROPOSITION 19 BASE YEAR VALUE TRANSFER FREQUENTLY ASKED QUESTIONS AND ANSWERS", State of California State Board of Equalization Property Tax Department. December 11, 2024. https://www.boe.ca.gov/proptaxes/pdf/lta24044.pdf